

AIRFLOA RAIL TECHNOLOGY LTD.



IPO NOTE

IPO Price Band: INR 133 to 140 per share

M.Cap: ~INR 335.58 Cr.

Recommendation: Subscribe

ABOUT: Incorporated in 1998 in Chennai, Company is engaged in manufacturing of components used in rolling stock for Indian Railways through railway production units like Integral Coach Factory ("ICF"), other coach factories along with executing turnkey interior furnishing projects for Indian Railways. Further, it also manufactures intricate, highly engineered components for Aerospace (including AMCA ground simulators for HAL) & Defence (body manufacturing for artillery – tanks, body armors) sectors. Company has 2 manufacturing units located in Chennai & Kancheepuram with installed capacity of 6,220 nos. (FY25).

INVESTMENT RATIONALE:

- **Strong order book of INR 376 Cr. as on 28-Aug'25:**
 - Rapid increase in order book from INR 306 Cr. as on 31-May'25 at the time of filing DRHP (dtd. 30-Jun'25) providing strong revenue visibility
 - FY26 revenue projection of INR 300 Cr.+ (basis avg. FY25 & FY26 receivables estimate) indicating Y-o-Y rev. growth of 56% in FY26
- **Diversified product profile along with expansion into high value industries (Aerospace & Defence)**
 - Integrated solutions provider : Company has evolved from rolling stock manufacturer to turnkey solutions provider
 - Successful execution of high profile projects like Sri Lankan Diesel Electric Multiple Unit (DEMU), Vande Bharat, Agra Kanpur Metro, Vistadome Coach, AC EMU, RRTS Metro, Kolkata Metro
- **Strong promoter & management team with over two decades of experience in railway OEM industry**
 - Appointed Mr. Sudhanshu Mani as Technology Advisor, who was former General Manager of ICF & key visionary behind Vande Bharat Express

BRIEF FINANCIALS:

Particulars (INR Cr.)	FY23	FY24	FY25
Revenue (<i>excl. other inc.</i>)	95	119	192
Growth Rate Y-o-Y %	(30.8%)	25.4%	61.3%
EBITDA (<i>excl. other inc.</i>)	16.5	31.8	48.3
PAT	1.5	14.2	25.5
Gross Margin %	34.3%	38.0%	35.2%
EBITDA % (<i>excl. other inc.</i>)	17.4%	26.7%	25.1%
PAT %	1.6%	11.6%	13.3%
Debt (<i>Short+Long</i>)	60	64	60
Equity	42	56	111
Debt/Equity	1.44x	1.14x	0.54x
NWC	47	88	126
NWC (<i>days</i>)	180	268	239
<i>NWC includes Inventory, Receivables & Payables; & NWC days is computed as % of rev.</i>			
ROE %	3.6%	29.1%	30.6%
ROCE %	11.3%	26.4%	26.3%
CFO / EBITDA %	60.9%	10.9%	(9.2%)

IPO VALUATION & VIEW:

Issue is valued at P/E ratio of 13.1x based on FY25 PAT. Considering the strengths of experienced promoter, strong order book, integrated solutions provider in railways, expansion into high value Aerospace & Defence sector, we recommend a 'Subscribe' to this issue.

ISSUE SUMMARY

Particulars	Details
Price Band (INR)	133 to 140
Face Value (INR)	10
Implied M.Cap (INR Cr.)	335.58
Exchange	BSE SME
Min. Lot Size (Retail HNI)	2,000 3,000
Issue Opens on	11-Sep'25
Issue Closes on	15-Sep'25
Listing Date	18-Sep'25
No. of shares pre-issue (#)	1,74,62,954
Fresh Issue of Shares (#)	65,07,000
Offer for Sale (#)	-
No. of shares post-issue (#)	2,39,69,954
Funds Mobilized (INR Cr.)	
(a) Fresh Issue of Shares	91.1
(b) Offer for Sale	0.0
IPO Reservation	
(a) QIB shares offered	<=50%
(b) Retail shares offered	>=35%
(c) NII (HNI) shares offered	>=15%
Registrar	KFIN Technologies
Book Running Lead Managers	GYR Capital Advisors
Objects of Issue (INR Cr.)	
(a) Funding capex for purchase of machinery & equipment	13.68
(b) Repayment of borrowings	6.00
(c) Funding working capital	59.27
(d) General Corporate Purposes	[•]

SHAREHOLDING

Particulars	Pre-Issue	Post-Issue
Promoter & Promoter Group	74.40%	54.20%
Public	25.60%	45.80%
Total	100.00%	100.00%

KEY RISKS / MONITORABLES

- Working capital intensive operations: (a) High inventory days due to high lead time of railway rolling stock, passenger coaches, wagons & significant inventory holding due to custom fabrication, complex assembly etc. (b) Extended trade receivables due to order book from Govt. & PSUs clients & payments tied to physical inspection, clearances
- Ability of Company to expand its revenues from Aerospace & Defence vertical which comprises INR 15 Cr. in current order book of INR 376 Cr. remains key monitorable
- High average attrition rate of employees (FY25: 40%, FY24: 81%, FY23: 54%) remains key monitorable



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❑ **Revenue mix & Order Book breakup:** Integral Coach Factory contributed 53.6% of FY25 sales & Top 10 customers share of 92.5%

Revenue Segments	FY23	FY24	FY25
Railway Rolling Stocks [Government]	99.6%	95%	64.5%
Aeronautical, Defence & Others [Non Government]	0.4%	5%	35.5%
Total Revenues (INR Cr.)	95	119	192
• Total Customers	41	47	45
• Repeated Customers	19	18	28
• % Repeat	46.3%	38.3%	62.2%

Order Book (28-Aug'25)

Order Book	INR Cr.	%
Railways – Govt.	271	72%
Railways – Non Govt.	90	24%
Aerospace & Defense	15	4%
Total	376	100%

Increased from INR 306 Cr. as on 31-May'25 at the time of filing DRHP (dtd. 30-Jun'25)

❑ **Existing Capacity Utilisation:** Higher revenue per product indicates positive shift towards integrated solutions provider / higher value offerings

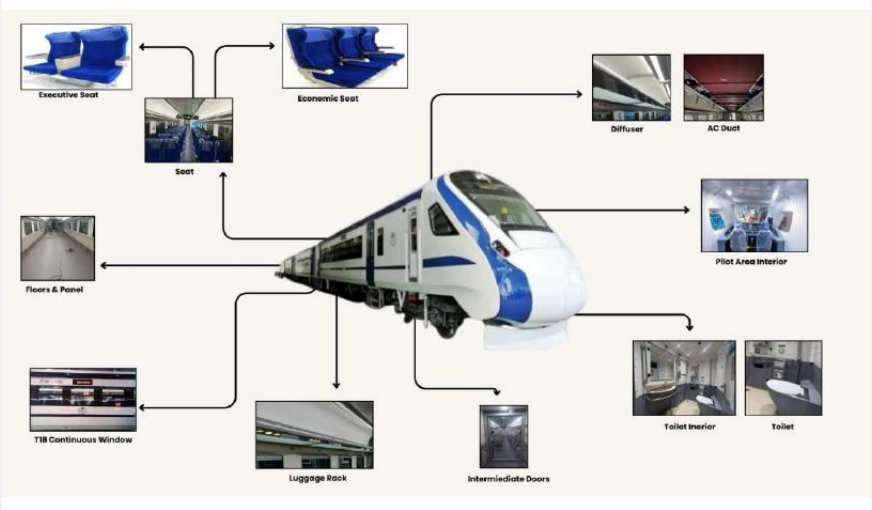
Particulars	FY23	FY24	FY25
Installed (in Nos.)	11,863	8,761	6,220
Production (in Nos.)	9,151	6,955	5,317
% Utilisation	77%	79%	85%
Total Revenue (INR Cr.)	95	119	192
Revenue per product (INR)	1,04,004	1,71,536	3,61,834

- INR 13.7 Cr. from IPO proceeds towards capex of machinery & equipment to enhance in-house manufacturing capabilities, increase production efficiency & support larger projects
- Products undergo customization to meet customer requirements & given varying shapes & weights, determination of capacity on product by product basis is not possible

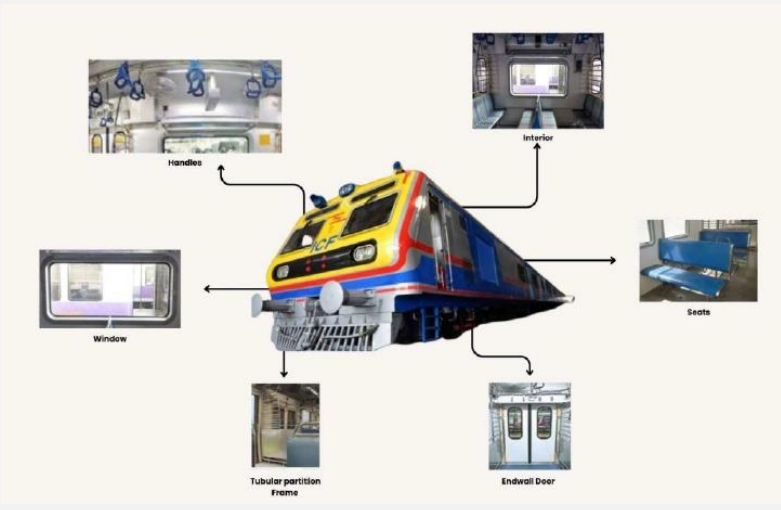
❑ **Product Profile:** Diversified product ranges across Indian Railways, aerospace & defence

Railways

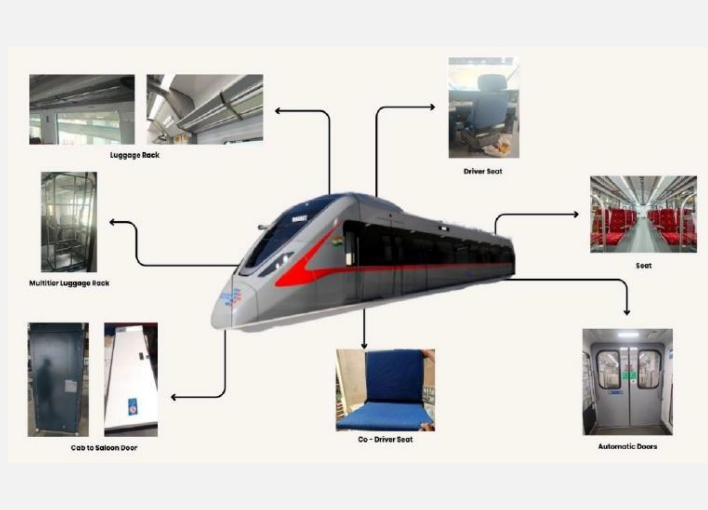
Components	Remarks	Trains
Seating Options	▪ Premium executive seats & ergonomic economic seats for luxury & comfort	▪ Vande Bharat – T18, Cape Gauge Passenger Coaches (Mozambique), AC EMU, RRTS Metro, Kolkata Metro, Vistadome Coach, Sri Lankan DEMU
Climate Control	▪ Advanced air conditioning systems	▪ Vande Bharat – T18, Cape Gauge Passenger Coaches (Mozambique), Vistadome Coach
Safety Features	▪ Operational systems for precision & passenger security	▪ Vande Bharat – T18, Cape Gauge Passenger Coaches (Mozambique)
Passenger Amenities & Accessibility	▪ Automated doors, spacious restrooms, hygienic luggage storage	▪ Vande Bharat – T18, Cape Gauge Passenger Coaches (Mozambique), Agra Kanpur Metro, AC EMU, RRTS Metro, Kolkata Metro, Vistadome Coach, Sri Lankan DEMU
Interior Design & Structural Integrity	▪ Robust materials with large windows	▪ Vande Bharat – T18, Cape Gauge Passenger Coaches (Mozambique), Agra Kanpur Metro, AC EMU, Kolkata Metro, Vistadome Coach, Sri Lankan DEMU



Vande Bharat T18



AC EMU



RRTS Metro

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- Product Profile (cont'd): Diversified product ranges across Indian Railways, aerospace & defence
Aerospace defense & Pilot Training



Company provides following key components for Aviation Training Centers Simulators designed to provide realistic & immersive environment for aircraft pilot training as follows:

- Simulated Environment: High-fidelity cockpit setup that replicate real-world aircraft conditions
- Structural Design: Robust simulator body ensuring durability & stability during intensive training sessions

- Raw Materials: Company sources raw material such as SS Sheet/Coils, MS Pipes, SS Pipes, Foam, Led Lights, Aluminium Extrusions, Aluminium Sheets Glass, Electrical Components, Rubber, Aluminium Alloy Ingots and Paints etc. for their manufacturing operations from a combination of domestic and foreign suppliers.

Top 10 suppliers contribute 64.4% of total raw material costs with no supplier contributing more than 15%

Raw Materials	FY23	FY24	FY25
Domestic Supplier	98.3%	98.5%	94.5%
Imports	1.7%	1.5%	5.5%

- Promoters:
- Mr. Venkatesan Dakshinamoorthy (age 60 years) is Promoter, Chairman and Managing Director of the Company with over 2 decades of experience & significant contribution in handling operations
 - Mr. Manikandan Dakshnamoorthy (age 45 years) is the Promoter and Joint Managing Director of the Company has strong technical expertise

- Peer Comparison: As per RHP, peers mentioned are Jupiter Wagons Ltd. & Titagarh Rail Systems Ltd. (although not comparable given scale of peers)

Particulars (INR Cr.)	FY23	FY24	FY25	FY23	FY24	FY25	FY23	FY24	FY25
	Airfloa Rail Technology			Jupiter Wagons			Titagarh Rail Systems		
Operating Revenues	95	119	192	2,068	3,644	3,963	2,780	3,853	3,868
Rev. growth rate % (Y-o-Y)	(30.8%)	25.4%	61.3%	76%	76%	9%	89%	39%	0.4%
Gross Margins %	34.3%	38.0%	35.2%	24.1%	22.9%	25.7%	22.7%	22.5%	24.3%
EBITDA Margins %	17.4%	26.7%	25.1%	12.1%	13.4%	14.3%	9.0%	11.7%	10.6%
PAT Margins %	1.6%	11.6%	13.3%	5.8%	9.0%	9.5%	4.6%	7.4%	7.0%
Debt	60	64	60	288	349	502	353	166	627
Equity	42	56	111	803	1,616	2,754	964	2,218	2,483
D/E	1.44x	1.14x	0.54x	0.36x	0.22x	0.18x	0.37x	0.07x	0.25x
CFO / EBITDA %	60.9%	10.9%	(9.2%)	31%	(4%)	18%	16%	19%	(24%)
NWC Days	180	268	239	106	105	119	60	75	99
Market Cap (INR Cr.)	335.58			13,726			11,312		
PE Ratio	13.1x			42.5x			46.9x		
Order Book	INR 376 Cr. (28-Aug'25)			INR 5,972 Cr. (30-Jun'25)			INR 12,695 Cr.+ (30-Jun'25)		

Attractive IPO Valuation

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- Buy: > 15%
- Hold: -5% to 15%
- Reduce: -15% to -5%
- Sell: < -15%

